August 3, 2026 06:15 PM GMT

Cross-Asset Spotlight | Global

Rates Reprice

Signals, Flows, & Key Data: A weekly summary of key cross-asset monitors, data, moves, and models tracking sentiment, fund flows, and positioning. Last week, US 30-year yields crossed 5.2%, USD/JPY fell 3.9%, and KOSPI was down 1.4%.

Key highlights from last week:

- KOSPI fell 1.4%. Our Asia/EM equity strategists turned OW Korea equities as they think we are past the midpoint of unwinding leveraged ETFs, hedge fund leverage, and retail margin.
- US 30-year yields crossed 5.2% for the first time since 2007. Our rates strategists think the yield curve will steepen further unless inflation comes in higher than consensus expects and Chair Warsh clarifies his press conference remarks on inflation.
- USD/JPY fell 3.9%. Our G10 FX strategists think the Japan-US intervention has squeezed JPY shorts but is unlikely to reverse broad JPY weakness without lower US rates and weak financial conditions.
- LME copper rose 1.3%. Our metals strategists see copper being pulled into China and the US simultaneously, tightening global inventories and pushing up prices and timespreads.

Exhibit 1: Morgan Stanley forecasts

	As of Jul 31, 2026	Q2 2027 Forecast			Q2 2027 Return Forecast			Volatility	Base Case Return/Risk
		Bear	Base	Bull	Bear	Base	Bull		
Equities						Total Returns			
S&P 500	7,490	5,900	8,300	9,400	-20.1%	11.9%	26.6%	18%	0.65
MSCI Europe	2,582	1,820	2,810	3,080	-26.7%	11.7%	22.1%	15%	0.80
Topix	4,003	2,600	4,300	4,900	-33.1%	9.4%	24.4%	18%	0.51
MSCI EM	1,666	1,100	1,800	2,100	-31.8%	10.2%	28.2%	17%	0.61
FX						Total Returns			
JPY*	157	163	156	145	-6.9%	-2.2%	5.7%	9%	-0.24
EUR	1.15	1.00	1.16	1.30	-14.7%	-0.8%	11.3%	7%	-0.11
GBP	1.35	1.20	1.34	1.45	-11.0%	-0.6%	7.6%	9%	-0.07
AUD	0.70	0.68	0.73	0.76	-2.6%	4.5%	8.8%	10%	0.46
INR*	95.4	92.0	95.0	100.0	6.9%	3.1%	-1.7%	5%	0.65
ZAR*	16.5	15.0	16.3	18.7	13.2%	4.3%	-8.6%	15%	0.29
BRL*	5.07	4.40	4.90	5.40	23.3%	11.6%	2.0%	15%	0.77
MXN*	17.3	16.5	17.2	19.5	8.1%	3.7%	-8.0%	12%	0.30
Rates (% percent)						Total Returns			
UST 10yr	4.74	5.10	4.20	3.55	1.7%	8.9%	14.4%	7%	1.34
DBR 10yr	3.21	3.05	2.45	2.40	4.7%	9.6%	10.1%	6%	1.68
UKT 10yr	5.05	4.65	4.40	4.20	8.1%	10.2%	11.8%	7%	1.54
JGB 10yr	2.79	3.10	2.25	1.40	0.9%	7.8%	15.1%	3%	3.07
Credit (bps)						Excess Returns			
US IG	78	125	90	70	-2.0%	-0.1%	1.3%	3%	-0.02
US HY	279	425	275	230	-3.1%	1.8%	3.7%	5%	0.33
EUR IG	78	150	80	60	-2.5%	0.6%	1.5%	2%	0.36
EUR HY	273	500	300	225	-5.5%	0.8%	3.3%	4%	0.18
EM $ Sov	244	400	260	210	-7.6%	1.3%	4.4%	7%	0.18
Sec. Products (bps)						Excess Returns			
US Agency MBS	31	40	20	15	-0.3%	0.9%	1.2%	2%	0.50
US CMBS AAA	76	110	75	60	-2.7%	0.8%	2.3%	2%	0.51
US CMBS BBB-	455	750	470	390	-25.0%	2.7%	10.6%	3%	0.78
Commodities						Total Returns			
Brent	90	60	75	120	-21.4%	-1.7%	57.3%	39%	-0.04
Copper	13,836	10,670	13,000	16,248	-22.3%	-5.4%	18.2%	21%	-0.26
Gold	4,046	3,920	4,900	6,125	-6.8%	16.5%	45.7%	16%	1.03

Source: Bloomberg, MSCI, Morgan Stanley Research forecasts; Note: Returns are total returns, except for credit, where we forecast excess returns vs government bonds. Commodity returns are calculated relative to futures to account for carry. Volatility is 10y realized vol. All currency returns are shown as XXXUSD return. *Currency forecasts shown for USDXXX.

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Recent Research:

Cross-Asset Conversations: Mapping the Path Forward for the Fed | Ep. 152 (31 Jul 2026)

Cross-Asset Brief: What Is the Path Forward for the Fed? Key Debates in Under 5 Minutes (31 Jul 2026)

Cross-Asset Dispatches: Weathering El Niño (27 Jul 2026)

Cross-Asset Playbook: Climbing the Wall of Worry (16 Jul 2026)

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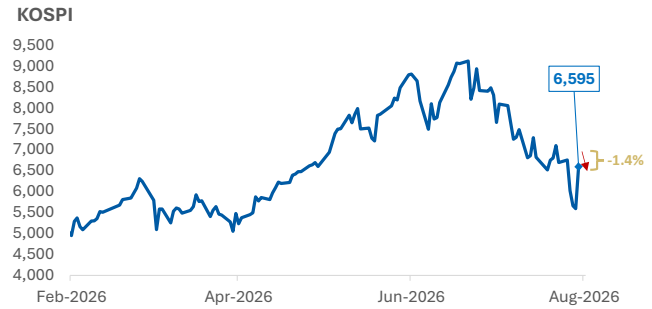
Charts You Can't Miss

Exhibit 2: KOSPI fell 1.4%



Source: Bloomberg, Morgan Stanley Research

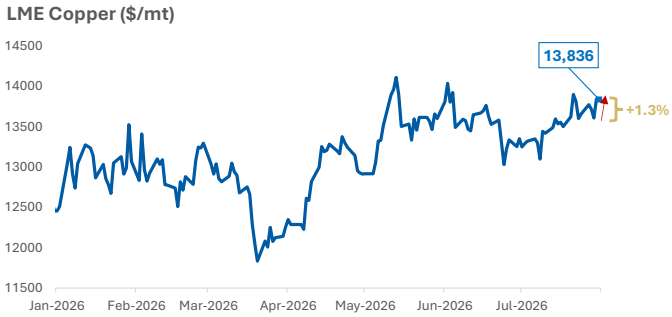
Exhibit 3: US 30-year yields crossed 5.2%

Source: Bloomberg, Morgan Stanley Research

Exhibit 4: USDJPY fell 3.9%

Source: Bloomberg, Morgan Stanley Research

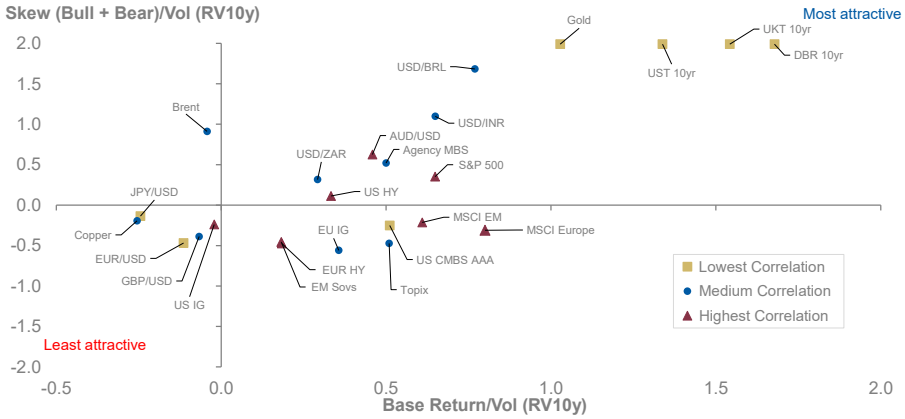
Exhibit 5: LME Copper rose 1.3%



Source: Bloomberg, Morgan Stanley Research

Exhibit 6:

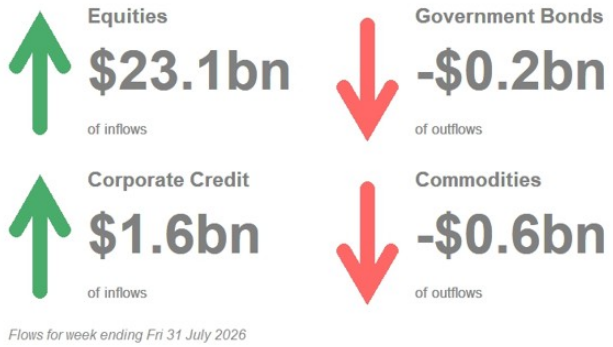
Global asset classes – expected 2Q27 return vs. risk



Source: Bloomberg, MSCI, Morgan Stanley Research forecasts; Note: 'Expected returns' based on Morgan Stanley strategy 2Q27 forecasts. Correlation is 10y relative to global equities (MSCI ACWI). Returns are total returns, except for credit, where we forecast excess returns versus government bonds. Commodity returns are calculated relative to futures to account for carry. All currency returns are shown as XXXUSD return. Volatility is 10y realised vol.

Cross-Asset ETF Flows

Exhibit 7: Weekly US ETF flows



Source: Bloomberg, Morgan Stanley Research; Note: Equity flows include flows from US ETFs to both domestic and international equities.

We track daily fund flows across ~5,000 ETFs globally, covering ~US $7 trillion of assets. For more on the full set of data we cover, see here.

The new monitor provides a gauge of demand across assets and regions, allowing us to better analyze cross-asset sentiment and positioning.

Exhibit 8: US ETF fund flows summary

US ETF Fund Flows

Name	Assets (US$ bn)	Short Interest		Trailing 1W		Trailing 3M		Trailing 12M		5Y Zscore			3M Flow
		Latest	1M Chg	Flow (US$ mln)	1W %	Flow (US$ bn)	3M %	Flow (US$bn)	12M %	1W	3M	12M	
EQUITIES	**11,288**	**2.5%**	↓	**23,053**	**0.2%**	**274.4**	**2.6%**	**883.8**	**10.3%**	**0.3**	**0.6**	**0.3**	
US	**8,996**	**2.8%**	↓	**14,200**	**0.2%**	**222.5**	**2.6%**	**639.8**	**9.2%**	**0.0**	**0.6**	**0.0**	
International	**2,292**	**1.5%**	↓	**8,853**	**0.4%**	**51.9**	**2.4%**	**244.0**	**14.9%**	**1.4**	**0.3**	**1.0**	
Global	1,994	1.7%	↓	5,773	0.3%	46.5	2.4%	212.8	15.0%	1.0	0.4	1.0	
Europe	91	1.9%	↓	151	0.2%	1.2	1.4%	1.6	2.2%	0.2	0.1	-0.2	
Japan	54	0.6%	↓	149	0.3%	2.4	4.8%	7.9	22.5%	0.1	0.4	0.9	
APxJ	104	7.8%	↑	2,533	2.5%	2.0	2.0%	6.7	8.3%	2.3	0.1	0.0	
EM	519	2.9%	↓	4,647	0.9%	7.7	1.5%	52.6	14.4%	2.0	-0.1	1.1	
FIXED INCOME	**2,150**	**2.0%**	↓	**5,030**	**0.2%**	**115.8**	**5.6%**	**357.5**	**20.0%**	**-0.2**	**1.9**	**2.3**	
US FI	**1,839**	**2.2%**	↓	**3,675**	**0.2%**	**93.9**	**5.3%**	**294.3**	**19.1%**	**-0.3**	**1.5**	**2.3**	
US Agg	484	0.5%	↓	967	0.2%	23.7	5.1%	72.2	17.6%	-0.2	1.2	0.6	
US Govt	535	3.0%	↓	-233	-0.0%	26.1	5.1%	102.9	23.8%	-0.7	-0.4	-0.3	
US MBS	76	0.4%	↓	50	0.1%	2.7	3.7%	3.3	4.6%	-0.2	0.3	-0.8	
US IG	335	2.5%	↓	669	0.2%	18.8	5.9%	57.8	20.6%	0.0	1.5	3.2	
US HY	114	13.1%	↓	914	0.8%	4.7	4.2%	6.3	5.7%	0.3	0.3	-0.3	
Munis	169	0.6%	↓	913	0.5%	10.3	6.4%	31.0	23.3%	0.4	0.6	0.4	
EM Credit	24	6.9%	↓	-96	-0.4%	0.8	3.5%	1.0	4.7%	-0.2	0.5	0.2	
EM Local	8	1.0%	↑	-21	-0.3%	-0.1	-0.8%	1.9	29.7%	-0.3	-0.5	0.8	
COMMODITIES	**294**	**2.8%**	↓	**-601**	**-0.2%**	**-5.4**	**-1.5%**	**20.2**	**9.0%**	**-0.3**	**-0.4**	**0.5**	
Energy	4	6.2%	↑	-445	-9.4%	0.1	3.4%	0.2	8.0%	-2.1	0.5	1.0	
Gold	268	2.8%	↓	-123	-0.0%	-6.6	-2.0%	16.7	8.1%	-0.1	-0.6	0.4	
ESG	**120**	**0.4%**	↓	**-137**	**-0.1%**	**4.0**	**3.5%**	**11.9**	**13.1%**	**-0.2**	**0.9**	**0.2**	
ESG Equity	110	0.4%	↓	-149	-0.1%	3.4	3.2%	10.1	12.3%	-0.2	0.9	0.3	
ESG FI	10	0.3%	↓	12	0.1%	0.6	6.5%	1.8	20.7%	-0.4	0.4	-0.3	

Note:
Data as of Fri 31 July 2026
Totals show assets and flows for unlevered funds only. Categories not exhaustive.
Short interest <10th percentile are highlighted in green, >90th percentile are in red.
'T3M Flow' shows rolling 3M net flows over the last 12 months.

Source: Bloomberg, Morgan Stanley Research

Exhibit 9: US fixed income ETF flows summary

US ETF Fund Flows - Fixed Income

Name	Assets (US$ bn)	Short Interest		Trailing 1W		Trailing 3M		Trailing 12M		5Y Zscore			3M Flow
		Latest	1M Chg	Flow (US$ mln)	1W %	Flow (US$ bn)	3M %	Flow (US$bn)	12M %	1W	3M	12M	
Domestic	**1,839**	**2.2%**	↓	**3,675**	**0.2%**	**93.9**	**5.3%**	**294.3**	**19.1%**	**-0.3**	**1.5**	**2.3**	
Agg	**484**	**0.5%**	↓	**967**	**0.2%**	**23.7**	**5.1%**	**72.2**	**17.6%**	**-0.2**	**1.2**	**0.6**	
Government	535	3.0%	↓	-233	-0.0%	26.1	5.1%	102.9	23.8%	-0.7	-0.4	-0.3	
Ultra Short	200	1.0%	↑	-538	-0.3%	16.2	8.9%	51.3	35.1%	-0.5	-0.1	-0.2	
Short-Term	78	4.1%	↓	314	0.4%	2.3	3.0%	11.3	17.1%	0.2	0.0	0.3	
Intermediate	179	1.6%	↑	338	0.2%	6.8	3.9%	43.6	32.7%	-0.3	-0.5	0.3	
Long-Term	79	10.1%	↓	-348	-0.4%	0.8	1.0%	-3.4	-3.9%	-0.6	-0.8	-1.2	
Inflation Protected	77	2.2%	↓	423	0.6%	5.7	7.8%	14.6	22.8%	0.7	1.2	0.6	
MBS	76	0.4%	↓	50	0.1%	2.7	3.7%	3.3	4.6%	-0.2	0.3	-0.8	
Municipals	169	0.6%	↓	913	0.5%	10.3	6.4%	31.0	23.3%	0.4	0.6	0.4	
Corporate	449	4.8%	↓	1,583	0.4%	23.5	5.5%	64.1	16.4%	0.2	1.0	1.5	
IG	335	2.5%	↓	669	0.2%	18.8	5.9%	57.8	20.6%	0.0	1.5	3.2	
HY	114	13.1%	↓	914	0.8%	4.7	4.2%	6.3	5.7%	0.3	0.3	-0.3	
International	**311**	**0.7%**	↓	**1,356**	**0.4%**	**21.9**	**7.5%**	**63.2**	**25.7%**	**0.4**	**1.8**	**1.0**	
Glb Agg	**243**	**0.1%**	↓	**1,186**	**0.5%**	**18.4**	**8.1%**	**52.2**	**27.2%**	**0.4**	**2.0**	**1.1**	
Glb Corp	28	0.1%	↓	317	1.1%	2.7	10.3%	7.6	36.4%	0.4	0.3	-0.3	
EM	24	6.9%	↓	-96	-0.4%	0.8	3.5%	1.0	4.7%	-0.2	0.5	0.2	
EM Local	8	1.0%	↑	-21	-0.3%	-0.1	-0.8%	1.9	29.7%	-0.3	-0.5	0.8	

Note:
Data as of Fri 31 July 2026
Totals show assets and flows for unlevered funds only. Categories not exhaustive.
Short interest <10th percentile are highlighted in green, >90th percentile are in red.
'T3M Flow' shows rolling 3M net flows over the last 12 months.

Source: Bloomberg, Morgan Stanley Research

Exhibit 10: EU ETF fund flows summary

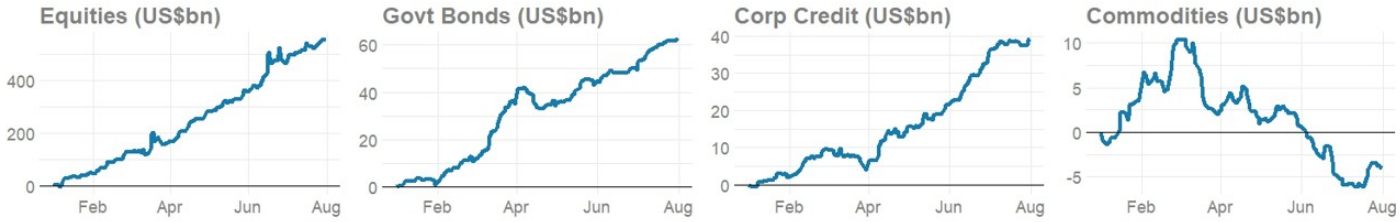
European ETF Fund Flows

Name	Assets (US$ bn)	Trailing 1W		Trailing 3M		Trailing 12M		5Y Zscore			T3M Flow
		1W Flow (US$ mln)	1W %	3M Flow (US$ mln)	3M %	12M Flow (US$ mln)	12M %	1W	3M	12M	
EQUITIES	**2,512**	**2,539**	**0.1%**	**41,620**	**1.8%**	**144,246**	**7.7%**	**-0.1**	**0.3**	**0**	
Europe	**506**	**97**	**0.0%**	**-3,252**	**-0.7%**	**22,264**	**5.5%**	**-0.1**	**-0.7**	**0.3**	
International	**2,006**	**2,442**	**0.1%**	**44,872**	**2.4%**	**121,982**	**8.3%**	**-0.1**	**0.7**	**-0.2**	
Global	955	1,017	0.1%	24,398	2.8%	78,488	11.8%	-0.4	0.4	-0.1	
US	859	975	0.1%	16,861	2.1%	26,660	4.0%	0.1	0.6	-0.5	
Japan	67	70	0.1%	3,331	5.5%	6,070	13.8%	0.1	2.2	1.5	
APxJ	80	187	0.2%	-472	-0.6%	6,476	10.8%	0.1	-0.9	0.1	
EM	231	-201	-0.1%	1,465	0.7%	26,091	17.2%	-0.7	-0.7	0.9	
FIXED INCOME	**568**	**505**	**0.1%**	**8,551**	**1.5%**	**17,047**	**3.3%**	**0**	**0.3**	**-0.8**	
EU FI	**257**	**219**	**0.1%**	**5,208**	**2.1%**	**10,309**	**4.2%**	**-0.2**	**-0.2**	**-1.2**	
EU Agg	9	133	1.5%	-10	-0.1%	779	8.9%	1.4	-0.7	-0.2	
EU Govt	94	191	0.2%	1,522	1.7%	2,876	3.2%	0	-0.5	-1.1	
EU IG	108	-121	-0.1%	1,097	1.0%	209	0.2%	-0.4	-0.2	-0.8	
EU HY	13	-111	-0.8%	706	5.4%	872	6.6%	-0.5	0.5	0.2	
EM Credit	25	-13	-0.1%	382	1.6%	1,150	5.5%	0	0.6	1.6	
EM Local	11	-43	-0.4%	-96	-0.9%	1,388	16.4%	-0.1	0.1	1	
COMMODITIES	**213**	**293**	**0.1%**	**-4,157**	**-1.7%**	**-1,048**	**-0.6%**	**0.4**	**-0.3**	**0.3**	
Energy	3	-72	-2.4%	-51	-1.6%	-9	-0.6%	-0.5	0	0.4	
Gold	182	338	0.2%	-4,910	-2.4%	-4,643	-3.1%	0.5	-0.5	-0.1	
ESG	**363**	**232**	**0.1%**	**121**	**0.0%**	**-13,303**	**-4.1%**	**-0.1**	**-0.6**	**-0.9**	
ESG Equity	298	47	0.0%	-525	-0.2%	-7,628	-3.0%	-0.2	-0.6	-0.8	
ESG FI	65	185	0.3%	646	1.0%	-5,676	-8.3%	0.3	-0.2	-1.2	

Note:
Data as of Fri 31 July 2026
Totals show assets and flows for unlevered funds only. Categories not exhaustive.
'T3M Flow' shows rolling 3M net flows over the last 12 months.

Source: Bloomberg, Morgan Stanley Research

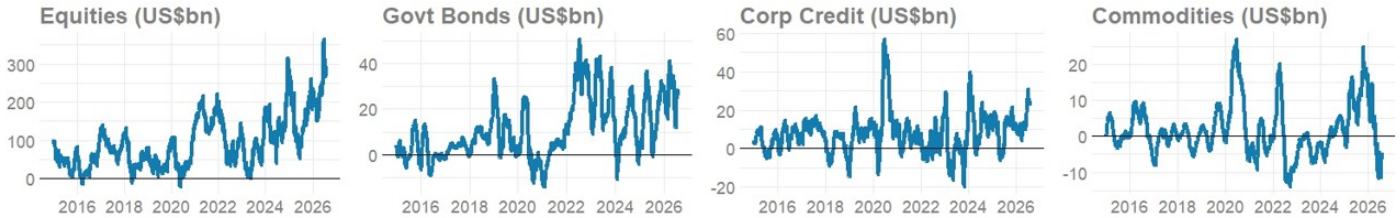
Exhibit 11: US ETF cumulative flows year-to-date



Data as of Fri 31 July 2026

Source: Bloomberg, Morgan Stanley Research; Note: Equity flows include flows from US ETFs to both domestic and international equities.

Exhibit 12: US ETF trailing 3M flows



Data as of Fri 31 July 2026

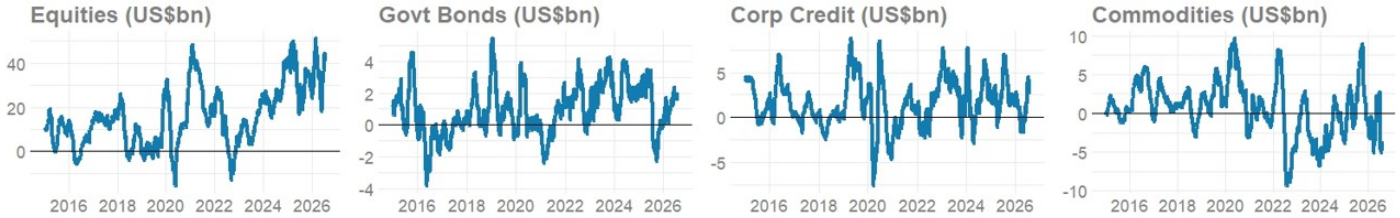
Source: Bloomberg, Morgan Stanley Research; Note: Equity flows include flows from US ETFs to both domestic and international equities.

Exhibit 13: European ETF cumulative flows year-to-date

Data as of Fri 31 July 2026

Source: Bloomberg, Morgan Stanley Research; Note: Equity flows include flows from European ETFs to both domestic and international equities.

Exhibit 14: European ETF trailing 3M flows



Data as of Fri 31 July 2026

Source: Bloomberg, Morgan Stanley Research; Note: Equity flows include flows from European ETFs to both domestic and international equities.

Cross-Asset ICI Fund Flows

We track daily fund flows globally coming from ICI; this covers almost all US ETFs and mutual funds, with a caveat being that data points arrive with longer lags and less granularity.

Exhibit 15: Flows summary

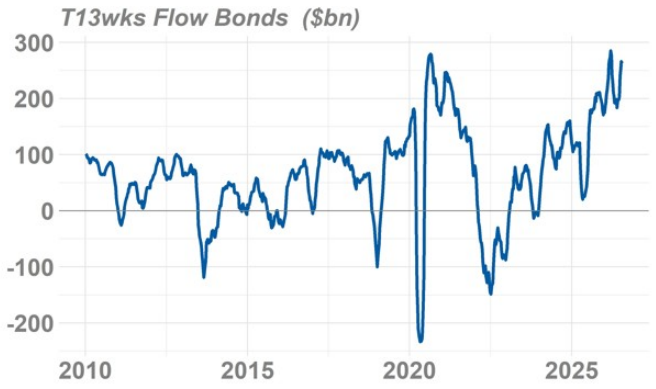
	AUM ($bn)	FLOW ($bn)					AS % OF AUM				
Asset		**1W**	**4W**	**13W**	**26W**	**52W**	**1W**	**4W**	**13W**	**26W**	**52W**
ALL	48,923	(3)	79	301	642	1,075	0.0%	0.2%	0.8%	1.7%	3.1%
Equity	30,543	(17)	14	60	211	242	-0.1%	0.1%	0.2%	0.9%	1.2%
US	23,831	(6)	22	64	119	64	0.0%	0.1%	0.3%	0.7%	0.4%
RoW	6,712	(11)	(9)	(4)	92	177	-0.2%	-0.2%	-0.1%	1.9%	4.0%
Hybrid	1,887	(1)	(4)	(15)	(32)	(71)	-0.1%	-0.2%	-0.9%	-1.9%	-4.4%
Bond	8,280	12	70	263	469	870	0.1%	1.0%	3.8%	7.0%	13.8%
Taxable	4,846	11	62	229	408	762	0.2%	1.4%	5.3%	9.6%	19.0%
Muni	1,103	1	9	34	61	108	0.1%	0.9%	3.6%	6.6%	12.2%
Commodity	312	3	(1)	(6)	(5)	34	0.9%	-0.4%	-3.6%	-3.4%	26.8%
MMFs	7,854	(7)	(84)	226	142	778	-0.1%	-1.2%	3.4%	2.3%	12.8%
Tax-Exempt	7,938	2	(1)	5	8	13	0.0%	-0.5%	4.0%	6.1%	11.2%
Govt	7,628	(6)	(73)	210	143	714	-0.1%	-7.5%	22.3%	15.2%	83.0%
Tsy & Repo	7,712	(5)	(1)	129	153	325	-0.1%	-0.1%	6.6%	8.6%	19.0%
Tsy & Agency	7,076	(1)	(72)	81	(10)	390	0.0%	-2.0%	2.3%	-0.3%	12.1%
Prime	7,733	(2)	(10)	10	(9)	50	0.0%	-0.9%	1.0%	-0.8%	4.9%

Source: ICI, Haver Analytics, Morgan Stanley Research; Note: AUM data is available monthly with a lag.

Exhibit 16: Trailing 3m equity flows

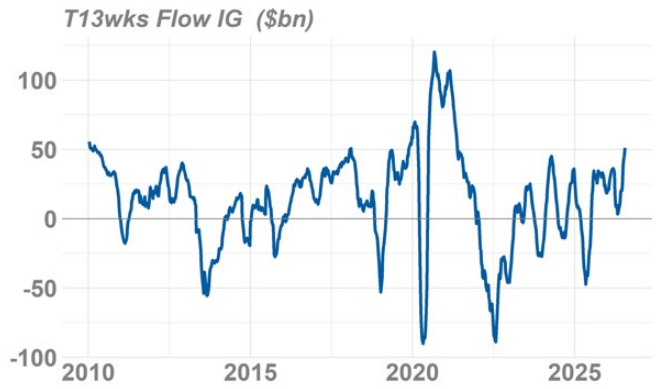
Source: ICI, Haver Analytics, Morgan Stanley Research. Note: Data is lagged by a week

Exhibit 17: Trailing 3m bond flows



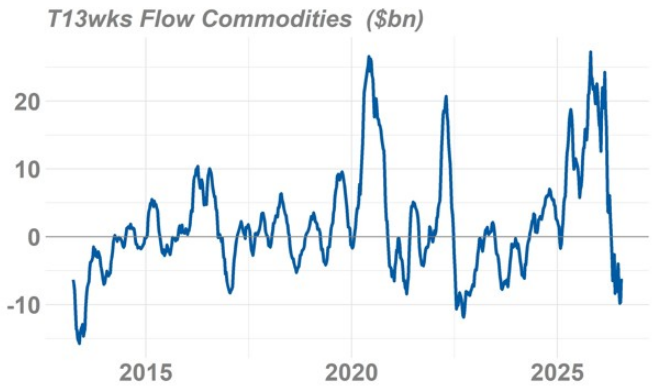
Source: ICI, Haver Analytics, Morgan Stanley Research. Note: Data is lagged by a week.

Exhibit 18: Trailing 3m IG flows



Source: ICI, Haver Analytics, Morgan Stanley Research. Note: Data is lagged by a week.

Exhibit 19: Trailing 3m commodities flows

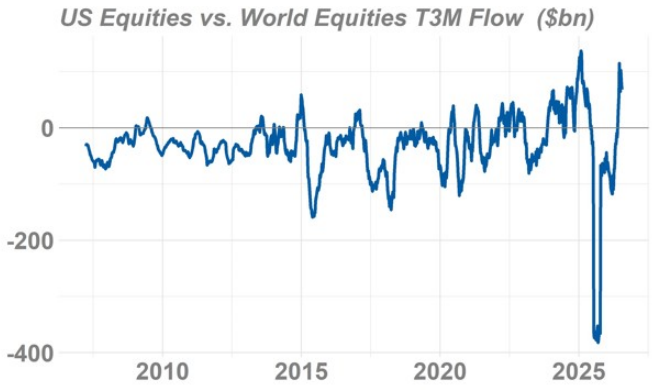


Source: ICI, Haver Analytics, Morgan Stanley Research. Note: Data is lagged by a week.

Exhibit 20: Trailing 3m equity vs. bonds flows

Source: ICI, Haver Analytics, Morgan Stanley Research. Note: Data is lagged by a week.

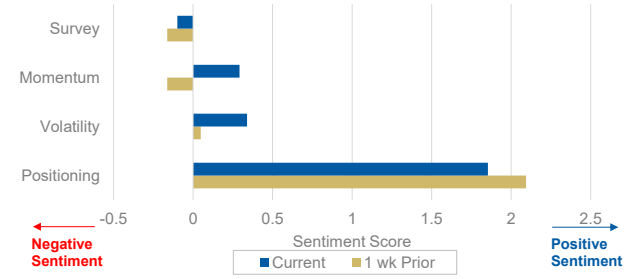
Exhibit 21: Trailing 3m US equity vs. World equity flows



Source: ICI, Haver Analytics, Morgan Stanley Research. Note: Data is lagged by a week.

Market Sentiment Indicator (MSI)

Exhibit 22: Current indicator reading by group



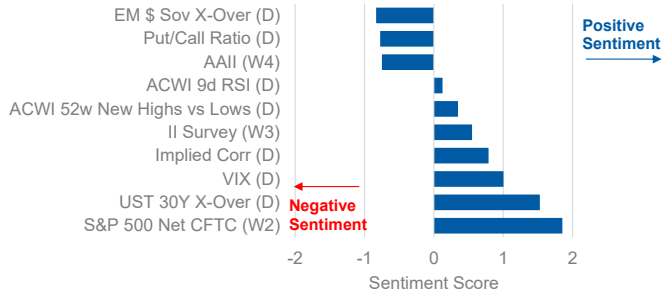
Source: Bloomberg, LSEG, CFTC, Morgan Stanley Research

Our MSI aggregates survey positioning, volatility, and momentum data to quantify market stress and sentiment. We construct risk-on/risk-off signals based on both the *level* and the *change* of our MSI. For more on the methodology, refer to this. The series can be found under the usual Bloomberg tickers.

MSXAMSIL Index – Morgan Stanley Market Sentiment Indicator *Level*.

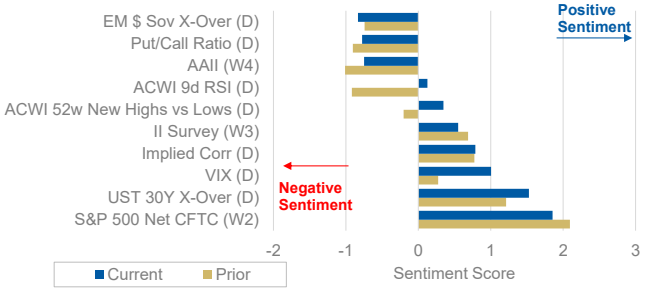
MSXAMSIS Index – Morgan Stanley Market Sentiment Indicator *Signal*.

Exhibit 23: Current indicator reading



Source: Bloomberg, LSEG, CFTC, Morgan Stanley Research; Note: W2 = weekly updates (every Tuesday), W3= weekly updates (every Wednesday), W4 = weekly updates (every Thursday), D = daily updates.

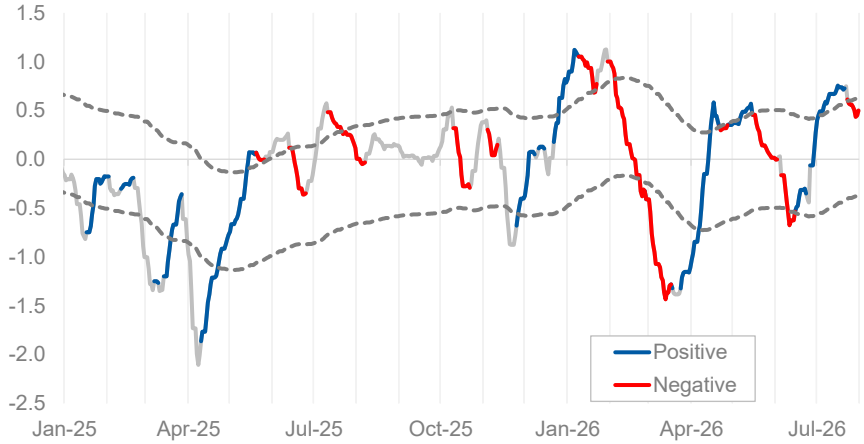
Exhibit 24: Indicator moves versus 1 week ago



Source: Bloomberg, LSEG, CFTC, Morgan Stanley Research; Note: W2 = weekly updates (every Tuesday), W3= weekly updates (every Wednesday), W4 = weekly updates (every Thursday), D = daily updates

Exhibit 25:

Market Sentiment Indicator (MSI)



Source: Morgan Stanley Research

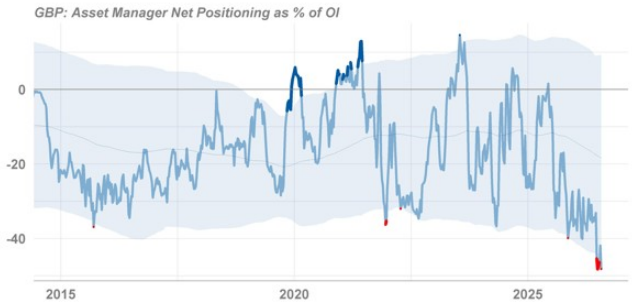
Cross-Asset Positioning

Exhibit 26: Net positioning summary

Market	Asset Managers	Hedge Funds	Dealers*	Others	Prod.
Equities					
US Equities	30%	-8%	-22%	-0%	
Japan Equities	29%	6%	-7%	5%	
EM Equities	49%	-1%	-48%	-2%	
Bonds					
UST	28%	-19%	-13%	-0%	
UST 2Y	40%	-34%	-10%	3%	
UST 5Y	44%	-32%	-13%	0%	
UST 10Y	41%	-33%	-8%	1%	
LT UST	46%	-35%	-11%	-0%	
Commodities					
Brent	6%		-20%	3%	13%
Gold	35%		-38%	11%	-4%
Copper	24%		3%	1%	-29%
FX					
DXY	37%	-3%	-47%	7%	
EUR	25%	-10%	-18%	1%	
GBP	-48%	13%	38%	0%	
JPY	-16%	-25%	32%	9%	
CHF	-31%	-9%	52%	-1%	
CAD	-26%	-26%	52%	3%	
AUD	-13%	10%	-4%	1%	
ZAR	33%	11%	-50%	-1%	
BRL	43%	-5%	-37%	-3%	
MXN	11%	32%	-31%	-13%	

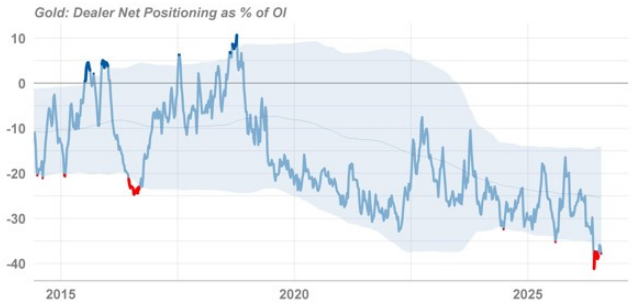
Source: CFTC, Bloomberg, Morgan Stanley Research; Note: Shading indicates net positioning as Z-score – blue background shading indicates net positioning >1.5 SD, red background shading indicates <-1.5 SD. "Dealers" refer to dealers and swap counterparty, Prod. refers to producers (commodities only), Others refer to (Corporates/Central Banks, etc.).

Exhibit 27: Extreme short 1



Source: Bloomberg, CFTC, Morgan Stanley Research

Exhibit 28: Extreme short 2

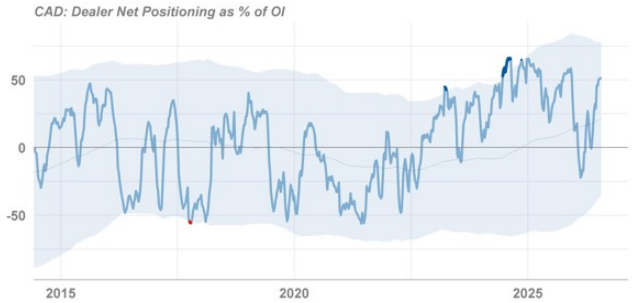


Source: Bloomberg, CFTC, Morgan Stanley Research

Exhibit 29: Extreme long 1

Source: Bloomberg, CFTC,Morgan Stanley Research

Exhibit 30: Extreme long 2



Source: Bloomberg, CFTC, Morgan Stanley Research

COVA: Cross-Asset Correlation-Valuation Framework

Our correlation-valuation (COVA) scorecard aims to identify good portfolio diversifiers at reasonable prices, rewarding assets that have: 1) a more negative correlation to equities, 2) a more stable correlation, 3) a more negative downside beta, 4) more attractive valuations, and 5) more attractive carry. The higher the score, the better the portfolio diversifier is. For more details on the framework, see here.

Exhibit 31: Cross-asset diversifiers: Top diversifiers based on COVA

Long/ Short	Asset	Corr.	Stability	Downside Beta	Correlation score	Valuation	Cost of Carry	Valuation score	Overall COVA score	Hedge Ratio ($mn per $1mn of equity risk)
Long	Cons Staples vs Mkt	85	99	73	83	97	96	96	88	1.0
Short	MXNUSD	83	82	75	79	97	99	98	87	3.1
Short	EM Credit XS	81	92	68	78	98	98	98	86	7.8
Short	Copper	78	78	75	77	100	89	95	84	0.8
Short	US HY (Spread)	87	100	70	82	79	89	84	83	9.0
Short	ZARUSD	83	100	69	81	82	85	83	82	1.8
Long	Healthcare vs Mkt	79	77	61	72	94	95	95	81	1.3
Short	US IG (Spread)	76	93	59	73	92	93	93	81	18.5
Long	Utilities vs Mkt	78	74	68	74	98	70	84	78	1.4
Long	USDZAR vol	79	77	53	68	96	83	89	77	3.4
Long	GBPUSD vol	76	86	53	69	99	77	88	77	3.8
Short	BTP Spread 10y	77	78	57	69	93	76	84	75	11.0
Short	AUDUSD	86	100	69	82	98	14	56	72	2.0
Long	USDJPY vol	72	75	55	66	60	93	77	70	3.6
Long	USDMXN vol	82	77	53	69	97	45	71	70	16.9

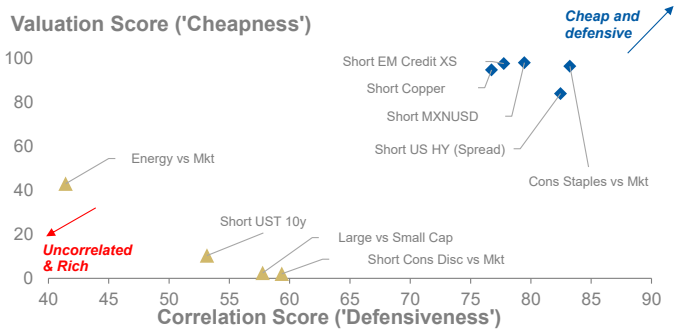
Source: Morgan Stanley Research; Note: Overall score is a weighted average of correlation score (60%) and valuation score (40%). We show "long" for assets with correlation <0% based on average of 10yr and 6m correlation to MSCI ACWI, and "short" otherwise. Scores are based on the direction of the trade. Hedge ratio is computed using the inverse of historical beta to global equities over the last year. For assets with low correlation to MSCI ACWI (<20%), we use the inverse of relative vol to global equities as its hedge ratio. Hedge ratios of long vol strategies are expressed in terms of how much an investor would need to do to get an 8% vol equivalent of risk.

Exhibit 32: Bottom 5 COVA diversifiers

Long/ Short	Asset	Correlation score	Valuation score	Overall COVA score
Long	Large vs Small Cap	58	2	36
Short	UST 10y	53	10	36
Short	Cons Disc vs Mkt	59	2	36
Long	Brent	34	49	40
Long	Energy vs Mkt	41	43	42

Source: Morgan Stanley Research

Exhibit 33: Top 5, bottom 5 valuation correlation distribution



Source: Morgan Stanley Research

Cross-Asset Monitor: Levels, Changes, and Valuations

Key highlights from last week

- The S&P 500 (+1.0%) underperformed MSCI ACWI (+1.4%) while MSCI China (+3.9%) outperformed. Consumer discretionary (+7.4%) led gains in global equity sectors while utilities (-2.8%) led losses.
- US HY spreads tightened 1 bp while EUR HY spreads widened 6 bp.
- The US Treasury curve twist-steepened.
- The DXY fell 1.5%. JPY gained 4.1% against the USD.
- Brent (-6.9%) underperformed the BCOMSP (-2.1%).

Exhibit 34: Cross-asset monitor: Levels, changes, valuations

EQUITIES

	Where are levels on a 1-year range?		*Where are moves most extreme?*				*Where are valuations?*	
			Change				Fwd P/E	
Asset	Latest	1Y Range	1D	1W	1M	1Y	Val	10Y %-tile
MAJOR EQUITY MARKETS								
MSCI ACWI	1,121		1.2%	1.4%	-0.3%	22.1%	18.4	
S&P 500	7,490		0.7%	1.0%	0.1%	20.1%	21.1	
Russell 2000	2,931		-0.5%	0.0%	-2.2%	35.3%	35.8	
NASDAQ	28,274		0.6%	0.5%	-3.6%	24.2%	24.6	
Eurostoxx 50	6,358		0.2%	1.2%	-0.9%	23.1%	16.2	
DAX	25,629		0.1%	2.1%	-0.6%	9.4%	16.7	
FTSEMIB	52,173		0.1%	0.7%	-1.2%	30.6%	14.1	
FTSE 100	10,868		-0.3%	1.2%	1.8%	19.8%	13.5	
TOPIX	4,003		1.3%	-0.2%	-1.5%	35.8%	17.0	
MSCI China	76		0.4%	3.9%	7.3%	-2.2%	11.8	
Hang Seng	25,884		0.1%	3.7%	10.9%	5.6%	11.7	
MSCI EM	1,666		6.6%	2.3%	-3.2%	35.9%	11.6	
EQUITY SECTORS (MSCI ACWI)								
Cons. Disc.	445		4.1%	7.4%	2.2%	7.0%	21.1	
Cons. Staple	308		-0.5%	2.0%	0.4%	6.8%	20.6	
Comm. Serv.	161		3.3%	4.8%	-1.0%	12.3%	16.3	
Energy	340		0.7%	0.1%	11.8%	35.9%	11.7	
Financials	246		0.2%	1.5%	3.3%	19.8%	13.9	
Healthcare	404		-0.7%	0.2%	-1.6%	18.2%	20.4	
Industrials	526		1.1%	0.2%	-2.1%	19.2%	23.8	
Materials	417		-1.0%	0.1%	-2.8%	24.9%	15.2	
Tech.	1,180		1.9%	0.2%	-2.9%	38.7%	21.6	
Utilities	204		-0.3%	-2.8%	-2.4%	9.9%	17.5	
STYLE (MSCI ACWI)								
Large/Small	105%		1.2%	1.3%	2.7%	0.2%	1.1	
Value/Growth	49%		-0.9%	0.4%	3.9%	4.6%	0.6	

Note:

Data as of Friday 31 July 2026

Source: Bloomberg, Morgan Stanley Research;

Note: Valuation bars colors: blue = cheap, red = expensive (e.g. high fwd P/E = expensive, high credit spread = cheap). Shaded numbers are +/-2 SD moves.

Exhibit 35: Cross-asset monitor: Levels, changes, valuations

CREDIT

Asset	Sprd (bp)	1Y Range	Change 1D	Change 1W	Change 1M	Change 1Y	Spread (bp) Val	Spread (bp) 10Y %-tile
US CORPORATE CREDIT								
US AGG	29		1	0	3	-3	29	
US IG	78		-1	-1	4	-2	78	
US HY	279		-4	-1	12	-22	279	
US IG BBB	96		0	-1	5	-3	96	
US HY BB	165		-3	1	11	-25	165	
CDX IG	53		0	-1	2	-1	53	
CDX HY	312		-1	-3	10	-24	312	
EUROPE CORPORATE CREDIT								
EUR AGG	44		0	0	1	-5	44	
EUR IG	79		0	1	1	-3	79	
EUR HY	272		-5	6	-1	-12	272	
EUR IG BBB	91		0	1	0	-4	91	
EUR HY BB	162		-5	3	-5	-21	162	
Main	54		0	-1	3	-3	54	
XOver	261		-2	-5	19	-19	261	
EM								
EM $ Sov	244		-3	0	7	-70	244	
CDX EM	145		0	-3	4	-15	145	
SECURITIZED								
US MBS	31		5	2	7	-8	31	
EUROPEAN SOV CREDIT								
France 10Y	79		1	0	0	12	400	
Italy 10Y	81		1	-1	4	-2	402	

Note:

Data as of Friday 31 July 2026

Source: Bloomberg, Morgan Stanley Research;

Note: Valuation bars colors: blue = cheap, red = expensive (e.g. high fwd P/E = expensive, high credit spread = cheap). Shaded numbers are +/-2 SD moves.

Exhibit 36: Cross-asset monitor: Levels, changes, valuations

RATES

Asset	Yields (%)	1Y Range	Change 1D	Change 1W	Change 1M	Change 1Y	Real Yields (%) Val	Real Yields (%) 10Y %-tile
US								
UST 2Y	4.29		4	-4	15	61	1.3	
UST 10Y	4.74		6	6	25	52	1.8	
UST 30Y	5.27		6	12	29	45	2.4	
UST 2Y/10Y	0.44		2	10	10	-9	NA	
US B/E 10Y	2.28		2	4	5	-5	2.3	
RoW								
DBR 10Y	3.21		5	3	27	53	0.4	
UKT 10Y	5.05		7	2	27	52	2.4	
JGB 10Y	2.79		-2	-1	1	123	-0.1	

Note:

Data as of Friday 31 July 2026

Source: Bloomberg, Morgan Stanley Research;

Note: Valuation bars colors: blue = cheap, red = expensive (e.g. high fwd P/E = expensive, high credit spread = cheap). Shaded numbers are +/-2 SD moves.

Exhibit 37: Cross-asset monitor: Levels, changes, valuations

FX

Asset	Spot	1Y Range	Change 1D	Change 1W	Change 1M	Change 1Y	REER Val	REER 10Y %-tile
DM								
AUD/USD	0.7019		-0.1%	0.6%	1.1%	8.4%	108	
EUR/USD	1.1527		-0.0%	1.4%	0.8%	-0.5%	106	
CHF/USD	1.2384		-0.3%	1.3%	-0.5%	-0.4%	101	
GBP/USD	1.3483		0.1%	1.2%	1.0%	1.5%	114	
JPY/USD	0.0064		1.4%	4.1%	2.5%	-6.4%	67	
NOK/USD	0.1055		0.6%	1.1%	3.8%	8.0%	89	
NZD/USD	0.5879		0.0%	1.5%	2.9%	-0.6%	93	
EM								
CNY/USD	0.1481		0.0%	0.3%	0.4%	6.5%	94	
IDR/USD	0.0555		0.5%	-0.3%	-0.3%	-8.4%	80	
INR/USD	0.0105		0.3%	1.2%	-0.2%	-8.2%	88	
KRW/USD	0.0695		-1.1%	1.4%	6.3%	-3.5%	83	
MYR/USD	0.2448		0.1%	0.2%	-0.3%	4.7%	108	
ZAR/USD	0.0605		-0.2%	1.9%	-1.8%	9.6%	102	
BRL/USD	0.1971		-0.3%	0.2%	1.9%	9.3%	76	
MXN/USD	0.0577		0.0%	0.8%	0.7%	8.8%	144	
INDICES								
DXY	100		0.1%	-1.5%	-0.9%	0.8%	NA	
EUR TWI	113		-0.0%	0.6%	0.4%	-1.1%	NA	

Note:

Data as of Friday 31 July 2026

Source: Bloomberg, Morgan Stanley Research;

Note: Valuation bars colors: blue = cheap, red = expensive (e.g. high fwd P/E = expensive, high credit spread = cheap). Shaded numbers are +/-2 SD moves.

Exhibit 38: Cross-asset monitor: Levels, changes, valuations

COMMODITIES

Asset	Latest	1Y Range	Change 1D	Change 1W	Change 1M	Change 1Y	Latest Price Val	Latest Price 10Y %-tile
BCOMSP	684		-0.1%	-2.1%	7.0%	29.3%	705	
WTI Crude	85		1.3%	-5.2%	24.1%	36.3%	86	
Brent	90		1.2%	-6.9%	25.0%	59.3%	91	
Gold	4,049		-1.2%	-0.5%	-1.9%	19.9%	4,580	
Silver	58		-2.1%	-1.9%	-5.1%	52.8%	76	
Copper	647		-0.1%	1.7%	5.1%	42.4%	643	
Iron Ore	706		-1.5%	-4.5%	-6.9%	0.2%	792	

Note:

Data as of Friday 31 July 2026

Source: Bloomberg, Morgan Stanley Research;

Note: Valuation bars colors: blue = cheap, red = expensive (e.g. high fwd P/E = expensive, high credit spread = cheap). Shaded numbers are +/-2 SD moves.

Exhibit 39: Cross-asset monitor: Levels, changes, valuations

VOLATILITY

Asset	Latest	1Y Range	Change 1D	Change 1W	Change 1M	Change 1Y	Level Val	Level 10Y %-tile
VIX	16.0		-1.1	-2.6	0.2	-4.4	16.0	
V2X	17.2		-1.0	-0.9	1.7	-4.6	17.2	
FX Vol	6.6		0.1	0.2	0.3	-1.6	6.6	

Note:

Data as of Friday 31 July 2026

Source: Bloomberg, Morgan Stanley Research;

Note: Valuation bars colors: blue = cheap, red = expensive (e.g. high fwd P/E = expensive, high credit spread = cheap). Shaded numbers are +/-2 SD moves.

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(as of July 31, 2026)

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	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1529	42%	442	47%	29%	750	43%
Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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